

OUR FRIEND THE UAW

What motivates Theodore “Teddy” J. Friend? Why does he work so hard? Why is he driven to earn so much money? Why does he spend so much? Teddy will tell you it’s because he’s competitive. But so are almost all top-producing sales professionals. His competitiveness is not the most important reason for his behavior.

When Teddy was growing up, his family was among the poorest in a blue-collar community. His family’s small home was built from used lumber and similar discarded materials. Until Teddy was a freshman in high school, his father cut Teddy’s hair, which did save money, although, according to Teddy, most people could tell that his “head was worked on by an amateur.”

The public high school he attended attracted students from a wide variety of socioeconomic backgrounds. Many were from upscale homes. “Rich kids” were there in large enough numbers to fill the high school’s parking lot with their nice cars. These cars always amazed Mr. Friend. Throughout high school his family owned one automobile. It was a well-used Ford that his dad had bought when it was ten years old.

During his high school years, Mr. Friend made a promise to himself that someday he would be a lot better off than his parents. “Better off” in his mind meant having a nice home in an upscale neighborhood, fine clothes for everyone in his family, classy cars, club memberships, and items purchased in the best stores. Mr. Friend realized that “better off” could be achieved by finding a high-paying position and working very hard.

Never did Mr. Friend equate “better off” with accumulating wealth. Again, being “better off” meant displaying one’s high income via the conspicuous display of high-status artifacts. Teddy never gave much thought to the benefits of building an investment portfolio. To him, a high income was the way to overcome a feeling of social inferiority. A high income was the product of hard work. “Income in the form of capital gains” were foreign words to him.

Mr. Friend’s father and mother were dysfunctional when it came to putting money away for a rainy day. Their financial plan was very simple: They spent when they had money. They stopped spending when